

21 May 2026

Life Insurance Corporation of India

VNB margins expected to continue improving

RESULT UPDATE

Sector: Insurance **Rating:** BUY
CMP: Rs 800 **Target Price:** Rs 970

Stock Info

Nifty	23,665
Bloomberg Code	LICI IN
Equity shares	6,325mn
52-wk High/Low	Rs 980/ 722
Face value	Rs 10
M-Cap	Rs 5,058.7bn/ USD 52.6bn
3-m Avg volume (NSE)	Rs. 11.4bn

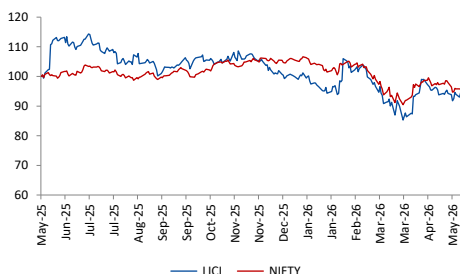
Financial Snapshot (Rs bn)

Y/E March	FY26	FY27E	FY28E
APE	670	774	890
% YoY	17.8%	15.5%	15.0%
VNB	142	166	194
% YoY	41.6%	17.3%	16.9%
VNB Margin	21.2%	21.5%	21.9%
Reported PAT	574	613	636
% YoY	19.2%	6.8%	3.7%
EPS (Rs)	90.8	96.9	100.5
Emb Val/Share (Rs)	1,248	1,450	1,607
BVPS (Rs)	278.7	364.6	453.1
P/EV (x)	0.6	0.5	0.4
P/VNB (x)	31.9	27.2	23.2
RoEV (%)	11.9%	12.1%	12.1%

Shareholding pattern (%)

	Sep'25	Dec'25	Mar'26
Promoter	96.5	96.5	96.5
-Pledged	-	-	-
FII	0.1	0.2	0.3
DII	1.4	1.3	1.3
Others	2.0	2.0	1.9

Stock Performance



Life Insurance Corporation of India's (LICI) calculated 4QFY26 VNB came in at Rs. 58.9 bn (34.1% above our estimate of Rs. 43.9bn) up by 85.4% QoQ and 66.7% YoY. The total APE stood at Rs. 229.5bn in 4QFY26 (10.2% above our estimate), up by 53.3% QoQ and 21.8% YoY. The YoY growth in APE was driven by individual non-par savings (+37.2% YoY) followed by group business (+36.7% YoY). The growth in Individual par segment stood at 7.9% YoY. The healthy growth in non-par segment was driven by (i) Individual savings (+83.2% YoY) (ii) Protection (+62.2% YoY). The ULIP segment grew marginally by 3.6% YoY while the annuities segment declined by -10.9% YoY. The channel APE mix saw higher contributions from the Banca & alternate channels (+17% YoY) while the agency channel grew 13% YoY correspondingly. In 4QFY26 the calculated VNB margin was at 25.7% up by 692bps YoY and 445bps QoQ. For FY26, the reported VNB margins improved by 360 bps to 21.2% driven by (i) ~300bps contribution from favourable change in business mix supported by focus on non-par segment (ii) ~340bps contribution from changes in economic assumptions driven by favourable changes in risk free rate (RFR). To a certain extent, these positive gains were offset by a -280bps negative impact from operating assumptions changes driven by (i) Impact of GST rationalization (ii) strengthening of persistency assumptions (ii) Realignment of expenses in specific business items (primarily group business). Going forward, the management expects the VNB margins to continue improving and ultimately converge with the margins of the peers driven by (i) Higher ticket size (ii) Improving persistency across cohorts. We maintain our BUY rating for the company with a revised price target of Rs. 970 (earlier Rs. 950) valuing the company at 0.6x on its FY28E EV per share of Rs. 1607. Further we assign Rs. 86 value to its associates.

APE growth driven by Individual non-par & group business: The total APE stood at Rs. 229.5bn in 4QFY26, up by 53.3% QoQ and 21.8% YoY. The YoY growth in APE was driven (i) Individual non par segment (+37.2% YoY) which was in turn driven by individual savings (+83.2% YoY) and protection segment (+62.2% YoY). (ii) Group business (+36.7% YoY). The growth in non-par savings was primarily driven by 'Jeevan Utsav'. The management emphasized that its higher ticket size was instrumental in bringing in substantial premium volumes. The APE mix shifted in favour of non-par segment which now constitutes ~35.1% of the individual APE (27.7% in previous year) which is in line with management's previous commentary of share of non-par consolidating at ~35% levels.

Sustained VNB margin improvement: In 4QFY26 the calculated VNB margin was at 25.7% up by 692bps YoY and 445bps QoQ. For FY26, the reported VNB margins improved by 360 bps YoY to 21.2%. The improvement in margins was mainly driven by (i) ~300bps contribution from change in business mix in favour of non-par products with the share sustaining at 35.1% of total individual APE (ii) ~340bps contribution from changes in economic assumptions driven by favourable changes in RFR. A certain extent of these positive gains was offset by operating assumptions changes (negative impact of -280bps) which were in turn driven by (i) Impact of GST rationalization (ii) strengthening of persistency assumptions (ii) Realignment of expenses in specific business items (primarily group business). Management clarified that although the Individual Non-Par segment represents only 22.7% of the total APE, these high-margin products contribute ~53% to the overall VNB. Further, the contribution from Individual par business stood at 28% while the balance 19%

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contribution was from group business. Going forward, the management expects the VNB margins to continue improving and ultimately converge with the margins of the peers. The management has identified higher ticket sizes and sustained improvement in persistency across cohorts as the primary drivers for margin improvements.

IEV growth positive but impacted primarily by economic assumption changes and variance: Indian embedded value (IEV) grew by 1.58% YoY in FY26 to Rs. 7891.8bn. The IEV growth was primarily supported by (i) Unwind of existing business (Rs. 747.5bn) (ii) VNB (Rs. 141.8bn) (iii) overall positive operating expenses experience (Rs. 537.5bn). The positive operating expenses variance was in turn driven by (i) positive persistency experience (Rs. 35.1bn) (ii) positive expenses experience (Rs. 5.3bn) (iii) others positive experience (Rs. 14.4bn). However, the IEV was adversely impacted by a considerable MTM loss amounting to ~Rs. 727.4bn which was reflected in economic assumption changes and variance. It was not clearly explained but we assume the management gave a break-up of 53.698% : 46.853% between Equity and Debt for the variance. Further, the management stated that ~80% of the negative variance have been recouped as on date. The Rs. 16.63bn negative adjustment to operating assumptions was on account of expenses being realigned for certain lines of business (group business) to reflect current experience in combination with the impact of GST rationalization and persistency adjustments in certain cohorts where policy retention had dropped. Further, the higher dividend payout also adversely impacted the IEV growth.

Valuation and recommendation: We maintain our **BUY** rating for the company with a revised price target of Rs. 970 (Rs. 950 earlier) valuing the company at 0.6x on its FY28E EV per share of Rs. 1607 for an RoEV profile of 12.1%/12.1% for FY27E/FY28E. Further we assign Rs. 86 value to its associates.

Key takeaways from 4QFY26 earnings call:

1. VNB Margin Aspects

- Value of New Business (VNB) grew 41.6% YoY to Rs. 141.8 bn.
- VNB margins expanded 360 bps YoY to 21.2%.
 - Improved business mix contributed 3% to VNB margins.
 - RFR has improved and contributed 3.4% to margins.
 - Combined persistency alignment and expenses, including GST impact, adversely impacted the VNB margins by -2.8%.
- Individual non-par business, representing 22.7% of APE, contributed 53% to VNB.
- Individual Par business, representing ~42% of APE, contributed 28% to VNB.
- Management stated that future margin expansion will be contingent on increasing ticket sizes and improving persistency across product cohorts and expecting the margins to converge with peers.
- The company is monitoring the availability of long-term hedging instruments for guaranteed non-par products prior to undertaking any internal rate of return (IRR) revisions.

2. NBP and APE

- Total premium income for FY26 stood at Rs. 5,359.8 bn, growing 9.8% YoY.
 - Individual NBP increased 8.3% YoY to Rs. 676.8 bn.
 - Group business total premium increased by 16.3% YoY to Rs. 1,966.1 bn.
- Total APE reached Rs. 669.6 bn.
 - Individual APE accounted for 64.7% (Rs. 433.4 bn)
 - Group APE contributed 35.3% (Rs. 236.3 bn).
- Growth in the savings segment was primarily driven by the 'Jeevan Utsav' and 'Jeevan Labh' products.
- Jeevan Labh accounted for ~40% of the premium within its category.

3. Channel Mix

- Agency channel contributed 91.8% of the NBP and accounted for 98.4% of total policies sold.
- Bancassurance (Banca) and alternate (alt) channels collected Rs. 50.8 bn in NBP, representing 45.2% YoY growth.
- The share of individual NBP originating from banca and alt channels increased to 7.5%.
- In the banca channel, the practice of "login days" was discontinued to prevent negative impacts on persistency, redirecting focus toward better and larger ticket sizes.
- The strategic focus for distribution includes recruiting younger demographic agents and increasing training initiatives across the agency force to cater to insurance needs of younger demographic group.

4. IEV walk

- IEV reached Rs. 7,891.8 bn for FY26, reflecting a 1.6% YoY growth.
- Revisions to operating assumptions resulted in a negative impact of Rs. 16.6 bn on the EV.
 - The negative adjustment is to factor the impact of GST and persistency adjustments in certain cohorts where policy retention has dropped.
- Negative impact of Rs. 727.4 bn attributed to economic assumption changes and investment variances. Management detailed the following drivers:
 - It was not clearly explained but we assume the management gave a break-up of 53.698% : 46.853% between Equity and debt for the variance.
 - Heavily influenced by a fall in the market value of investments as of March 31, 2026.
 - Management attributed these MTM declines to extreme market volatility during March 2026, noting that ~80% of declined value was recouped in April 2026.
 - Changes in the Risk-Free Rate (RFR) were also an active component within the economic assumption changes.
- Total EV was reduced by the total amount of dividends paid out during the period.

5. Persistency

- The company recorded improvements in persistency on a premium basis for the 37th and 49th months.
- On a policy basis, persistency demonstrated improved performance in the 13th, 37th, and 49th months.
- The focus remains on increasing the ticket size along with higher sales.
- To improve persistency across cohorts, the minimum sum assured was increased in October 2024 to align with new regulatory master circulars
- Persistency assumptions were strengthened for certain group business lines due to observed drops in retention and higher lapse rates.

6. Expense Ratio Aspects

- The overall expense ratio contracted by 51 bps YoY, moving to 11.9% in FY26 from 12.4% in FY25.
- Management noted this as the lowest overall expense ratio achieved since the company's listing.

7. Others

- Market share at 56.66% vs 57.05% in FY25.
- Market share for Individual at 56.6% and 70.11% for group.
- Solvency ratio for FY26 was 2.35x vs 2.11x in FY25.

Exhibit 1: Quarterly performance

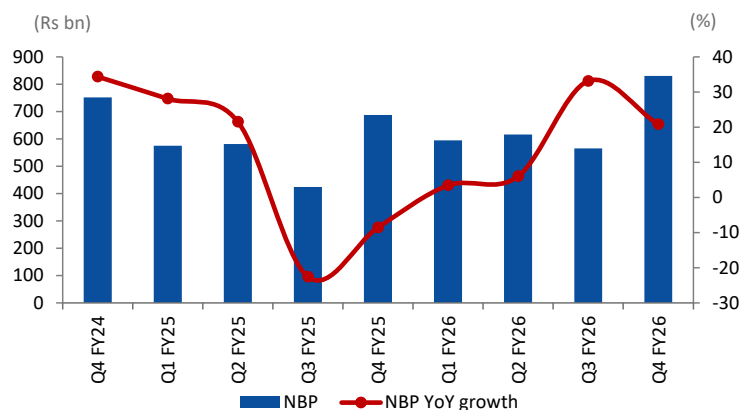
Particulars (Rs. mn)	Q4 FY26	Q4 FY25	% yoy	Q3 FY26	% qoq
P&L aspects:					
NBP	8,30,488	6,87,477	20.8%	5,64,775	47.0%
Renewal premium	8,19,330	7,91,383	3.5%	6,93,222	18.2%
Gross premium	16,49,818	14,78,860	11.6%	12,57,996	31.1%
Income from investment	10,90,220	9,31,327	17.1%	10,76,083	1.3%
Opex	1,29,333	87,836	47.2%	95,653	35.2%
Surplus/ (Deficit)	2,21,265	1,88,195	17.6%	1,19,332	85.4%
PAT	2,34,204	1,90,128	23.2%	1,29,582	80.7%
Other financial metrics:					
APE	2,29,540	1,88,530	21.8%	1,49,730	53.3%
VNB	58,910	35,340	66.7%	31,770	85.4%
VNB Margin	25.7%	18.7%	692bps	21.2%	445bps

Source: Company, Systematix Research

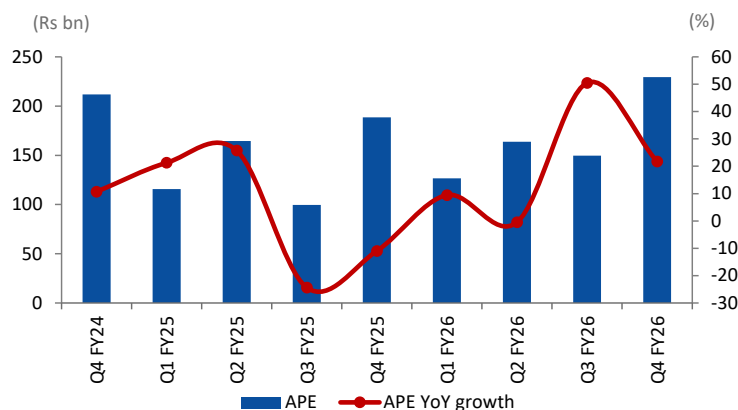
Exhibit 2: Actuals Vs Expectation

Q4FY26 (Rs. mn)	Actuals	Estimates	Diff (%)
New Business Premium	8,30,488	8,37,672	(0.9)
Total APE	2,29,540	2,08,242	10.2
VNB	58,910	43,939	34.1

Source: Company, Systematix Research

Exhibit 3: NBP and NBP YoY growth

Source: Company, Systematix Research

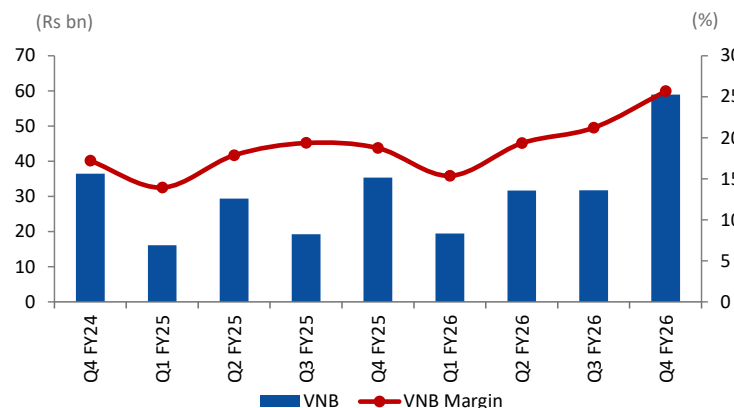
Exhibit 4: APE and APE YoY growth

Source: Company, Systematix Research

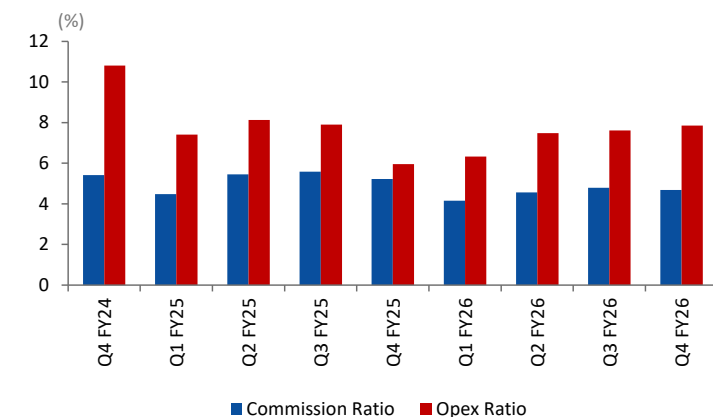
Exhibit 5: Other operational aspects

Particulars	Q4 FY26	Q4 FY25	% yoy	Q3 FY26	% qoq
APE Mix, Rs mn					
Individual Par	1,06,140	98,370	7.9%	65,710	61.5%
Individual Non Par	51,690	37,680	37.2%	38,110	35.6%
Individual Saving	29,880	16,310	83.2%	18,770	59.2%
Protection	1330	820	62.2%	770	72.7%
Annuity	5,070	5,690	-10.9%	3,850	31.7%
ULIP	15,410	14,870	3.6%	14,720	4.7%
Group Business	71,710	52,470	36.7%	45,910	56.2%
Total APE	2,29,540	1,88,520	21.8%	1,49,730	53.3%
APE Mix, %					
Individual Par	46.2	52.2	-594bps	43.9	235bps
Individual Non Par	22.5	20.0	253bps	25.5	-293bps
Individual Saving	13.0	8.7	437bps	12.5	48bps
Protection	0.6	0.4	14bps	0.5	7bps
Annuity	2.2	3.0	-81bps	2.6	-36bps
ULIP	6.7	7.9	-117bps	9.8	-312bps
Group Business	31.2	27.8	341bps	30.7	58bps
Distribution mix-Indi NBP (Rs. mn)					
Agency	2,08,728	1,84,872	13%	1,49,711	39%
Banca & alt. channels	17,344	14,860	17%	13,195	31%
Digital	1,278	808	58%	1,593	-20%
Other	0	0	NA	0	NA
Total	2,27,350	2,00,540	13%	1,64,500	38%
Distribution mix (%)					
Agency	91.8%	92.2%	-38bps	91.0%	80bps
Banca & alt. channels	7.6%	7.4%	22bps	8.0%	-39bps
Digital	0.6%	0.4%	16bps	1.0%	-41bps
Other	0.0%	0.0%	0bps	0.0%	0bps
Persistency					
13th month	74.6%	74.8%	-20bps	75.8%	-111bps
25th month	69.0%	71.0%	-201bps	70.8%	-178bps
37th month	66.9%	66.1%	83bps	67.4%	-43bps
49th month	63.0%	61.5%	152bps	63.8%	-74bps
61st month	59.3%	63.1%	-381bps	61.1%	-178bps
Expense Metrics					
Expense ratio	12.5%	11.2%	136bps	12.4%	13bps
Commission ratio	4.7%	5.2%	-55bps	4.8%	-11bps
Opex ratio	7.9%	6.0%	190bps	7.6%	24bps
Solvency					
Solvency ratio	235%	211%	2400bps	219%	1600bps

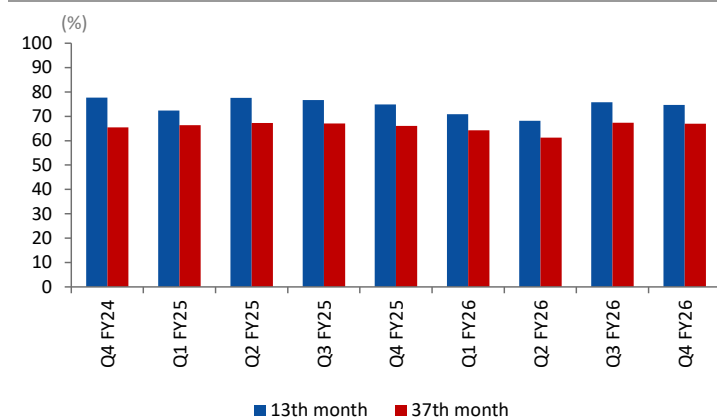
Source: Company, Systematix Research

Exhibit 6: VNB and VNB margins (%)

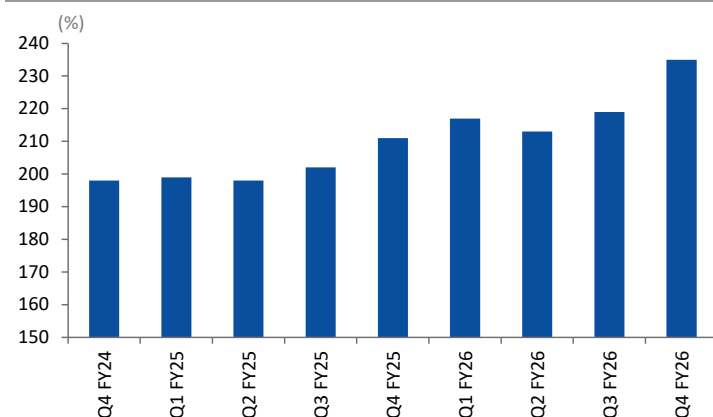
Source: Company, Systematix Research

Exhibit 7: Commission and opex ratio (%)

Source: Company, Systematix Research

Exhibit 8: 13th and 37th month persistency (%)

Source: Company, Systematix Research

Exhibit 9: Solvency (%)

Source: Company, Systematix Research

Exhibit 10: Revised vs earlier estimates

Particulars (Rs mn)	Revised Estimate			Earlier Estimate			% Revision		
	FY26	FY27E	FY28E	FY26	FY27E	FY28E	FY26	FY27E	FY28E
APE	NA	7,73,645	8,89,650	NA	7,22,646	7,95,102	NA	7.1	11.9
VNB	NA	1,66,282	1,94,451	NA	1,37,214	1,54,021	NA	21.2	26.2
EV	NA	91,72,312	1,01,62,232	NA	92,93,243	1,02,01,819	NA	(1.3)	(0.4)

Source: Company, Systematix Research

FINANCIALS

Profit & Loss Statement

YE: Mar (Rs bn)	FY24	FY25	FY26	FY27E	FY28E
Policyholders account					
Net premium	4,750.7	4,881.5	5,359.8	5,895.5	6,551.6
Income from inv	3,639.4	3,926.2	4,317.1	4,419.7	4,745.1
Other income	146.5	6.6	28.0	16.8	18.5
Contri from Sh A/C	0.4	27.1	28.0	35.4	39.3
Total income	8,537.1	8,841.5	9,732.9	10,367.3	11,354.4
Commission	259.6	253.1	244.4	294.8	327.6
Op Exp (insurance)	481.2	354.2	395.1	412.7	458.6
Benefits paid	3,888.1	4,163.5	4,961.0	5,048.4	5,610.4
Change in val of liab	3,530.4	3,533.3	3,633.4	4,002.7	4,321.6
Others	(27.9)	(19.5)	(14.9)	(21.4)	(23.9)
Provision for Tax	58.3	77.7	(41.7)	70.7	104.8
Surplus/(Deficit)	347.4	479.1	555.6	559.3	555.4
Trsf to Sh A/C	374.6	473.2	541.9	553.8	549.9

Shareholders Account

Trsf from Policyholders' A/C	374.6	473.2	541.9	553.8	549.9
Income from Inv	36.9	59.9	85.9	120.5	153.3
Total A	411.5	533.2	627.8	674.2	703.2
Expenses (exc insurance)	3.2	6.2	25.3	27.3	30.8
Contri to Policyholders' A/C	0.4	45.4	28.0	30.2	32.6
Others	-	-	-	-	-
Total B	3.6	51.6	53.2	57.5	63.5
Profit/(Loss) before tax	407.9	481.5	574.5	616.7	639.7
Provision for Taxation	1.1	-	0.4	3.6	3.7
Profit/(Loss) after tax	406.8	481.5	574.2	613.2	636.0

Source: Company, Systematix Research

Balance Sheet

YE: Mar (Rs bn)	FY24	FY25	FY26	FY27E	FY28E
Shareholders' Funds:					
Share Capital	63.3	63.3	63.3	63.3	63.3
Reserve and surplus	757.4	1,201.0	1,699.3	2,242.8	2,802.9
Credit/(Debit) FV Change A/C	(1.3)	(2.3)	(8.9)	(8.9)	(8.9)
Policyholders' Funds					
Policy Liabilities	43,953.3	47,355.8	51,002.6	54,804.4	58,900.9
Provision for Linked Liab	348.8	475.3	604.0	804.9	1,030.0
Fair Value change	6,926.8	6,475.4	5,027.9	5,027.9	5,027.9
Insurance Reserve	155.9	156.7	231.3	231.3	231.3
Fund For Discontd Policies	4.1	8.0	15.2	18.3	21.9
Funds for future appr	12.1	18.3	32.2	37.7	43.3
Sources of Funds	52,220.4	55,751.4	58,666.7	63,221.7	68,112.5
Inv - Shareholders	637.4	1,040.3	1,507.4	1,984.8	2,458.8
Inv - Policyholders	48,765.1	51,362.8	53,332.6	57,148.2	61,193.0
Assets for Linked Liab	352.6	483.1	619.0	790.1	997.2
Loans	1,202.6	1,274.8	1,298.5	1,428.3	1,571.2
Fixed Assets	40.6	44.6	47.4	50.4	53.4
Net Current Assets	1,222.1	1,546.0	1,853.4	1,819.9	1,839.0
Misc. Expenditure	-	-	-	-	-
Application of funds	52,220.4	55,751.5	58,658.3	63,221.7	68,112.5

Source: Company, Systematix Research

Ratio Analysis

YE: Mar	FY24	FY25	FY26	FY27E	FY28E
Growth (%) - P&L					
New business premium	-4.0%	1.8%	14.9%	15.5%	15.0%
Renewal premium	4.3%	3.5%	5.4%	4.8%	7.1%
Net premium	0.2%	2.8%	9.8%	10.0%	11.1%
PAT	11.8%	18.4%	19.2%	6.8%	3.7%
VNB	4.7%	4.5%	41.6%	17.3%	16.9%
Growth (%) - Balance Sheet					
Total AUM	17.2%	6.3%	4.9%	8.0%	7.9%
Total Assets	16.3%	6.8%	5.2%	7.8%	7.7%
Embedded value	24.9%	6.8%	1.6%	16.2%	10.8%
Profitability & expense ratios (%)					
VNB Margin	16.8%	17.6%	21.2%	21.5%	21.9%
Commission ratio	5.5%	5.2%	4.6%	5.0%	5.0%
Opex ratio	10.1%	7.3%	7.4%	7.0%	7.0%
Expense ratio	15.6%	12.4%	11.9%	12.0%	12.0%
Persistence (%)					
Conservation Ratio	89.8%	89.7%	92.3%	91.0%	91.7%
Return ratios (%)					
RoEV	11.5%	11.4%	11.9%	12.1%	12.1%
ROE	49.6%	38.1%	32.6%	26.6%	22.2%
RoA	0.8%	0.9%	1.0%	1.0%	1.0%
Solvency & Underwriting					
Solvency Ratio	197.6%	211.0%	235.0%	220.0%	220.0%
Claims ratio	81.8%	85.3%	92.6%	85.6%	85.6%
Claims / AUM	7.8%	7.9%	8.9%	8.4%	8.7%
Per share data (Rs)					
EPS	64.3	76.1	90.8	96.9	100.5
VNBPS	15.2	15.8	22.4	26.3	30.7
BVPS	129.7	199.9	278.7	364.6	453.1
EVPS	1150.0	1228.3	1247.7	1450.2	1606.7
Valuation (x)					
P/E	11.1	9.4	7.9	7.4	7.1
P/VNB	47.2	45.2	31.9	27.2	23.2
P/BV	5.5	3.6	2.6	2.0	1.6
P/EV	0.6	0.6	0.6	0.5	0.4

Source: Company, Systematix Research

EV Walk

YE: Mar (Rs bn)	FY24	FY25	FY26	FY27E	FY28E
Opening EV	5,822.4	7,273.4	7,768.7	7,891.8	9,172.3
Bifurcation impact	-	-	-	-	-
Unwind of Discount	522.0	700.9	747.5	749.7	871.4
Value of New Business	95.8	100.1	141.8	166.3	194.5
Op Assumption Changes	48.3	18.5	(16.6)	-	-
Op Experience Variance	3.7	6.7	53.8	39.5	45.9
EV Operating Profit (EVOP)	669.8	826.2	926.4	955.5	1,111.7
Economic Variance	954.6	(292.9)	(727.4)	394.6	(45.9)
EV Profit	1,624.4	533.3	199.0	1,350.1	1,065.8
Future Charge to Sh Fund	(129.1)	-	-	-	-
Net Capital Inflow/Outflow	(44.3)	(38.0)	(75.9)	(69.6)	(75.9)
Closing EV	7,273.4	7,768.7	7,891.8	9,172.3	10,162.2

Source: Company, Systematix Research

DISCLOSURES/APPENDIX

I. ANALYST CERTIFICATION

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